

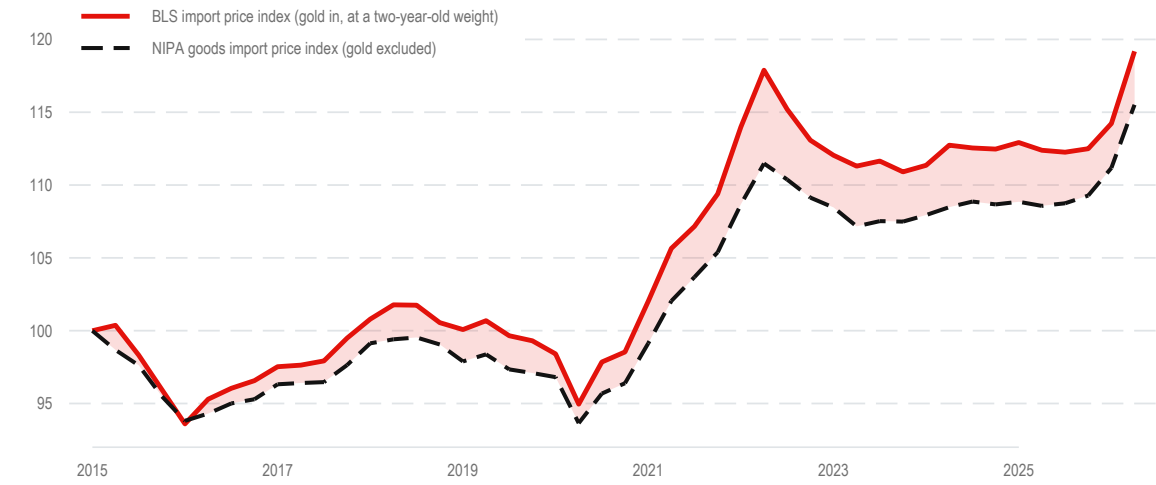


Two import price indexes for the same imports, and the gap between them is not gold

BLS all-commodities against the national accounts' goods index. Since 2015 they have diverged by nearly four index points

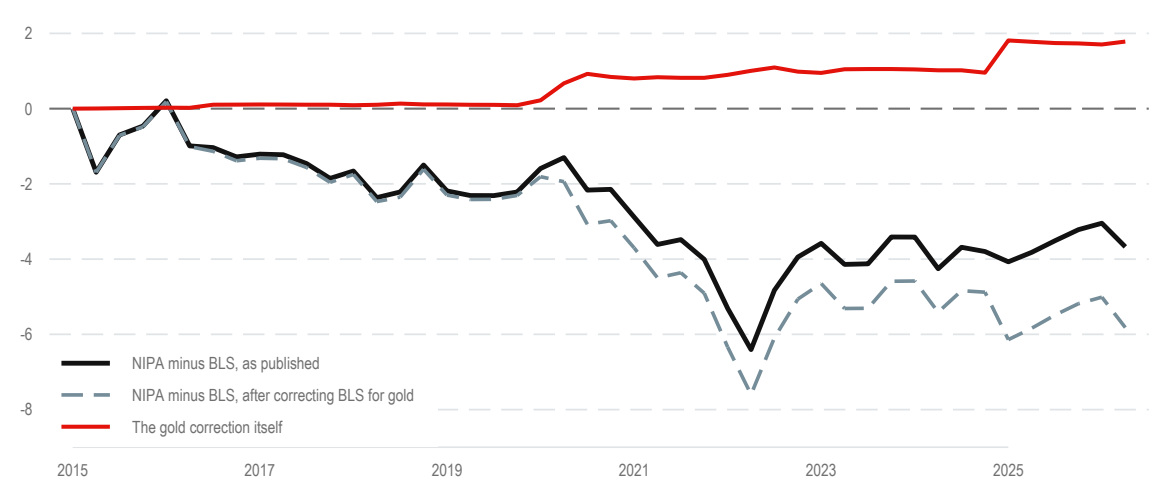
a. The two indexes, 2015Q1 = 100

The trade release is deflated with the first; the national accounts use the second



b. The gap, and why it is not gold

Index points. Correcting the BLS index for gold moves it AWAY from NIPA, because the correction raises it



The BLS index is a Lowe index, chained monthly and reweighted each January from Census annual trade on a two-year lag, and it includes nonmonetary gold at that lagged weight. The NIPA index is chain-Fisher over goods and excludes nonmonetary gold outright. Since 2015Q1 the BLS index has risen 19.2% and the NIPA index 15.5%.

THE GAP IS NOT GOLD, AND PANEL b IS THERE TO STOP THAT INFERENCE. One index contains gold and the other does not, so the difference looks like it must be gold. It is not, for two independent reasons. First the sign: BLS sits ABOVE NIPA, but the gold correction RAISES the BLS index - it carries gold below the share trade actually had - so correcting for gold moves the two further apart rather than closer. Second the shape: tested directly, the quarterly gap correlates -0.15 with the predicted gold term.

What the gap is instead is formula and coverage. Lowe with two-year-lagged weights against chain-Fisher will diverge on any basket whose composition moves, and MXPI does not price military goods, used goods or art at all. For scale: BEA's own two measures of the same concept - the published chain-type index and the deflator implied by dividing nominal goods imports by chained goods imports - differ from each other by up to 4.2 points over this window, which is the same order as the NIPA-BLS gap. No single-cause story about this gap is safe.
Source: Bureau of Labor Statistics (EIUIR, EIUIR14270); Bureau of Economic Analysis; US Census Bureau.